Form 1040 2024

U.S. Individual Income Tax Return

January 1 - December 31, 2024 | Page 1

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Taxpayer first name / last name	Social security number
ROBERT / SMITH JR.	333-44-5555
LISA MARIE / SMITH	444-55-6666

Home address: 123 SMITH STREET | SAN ANTONIO, TX 78253

Filing status: [X] Married filing jointly | Presidential Election Campaign: neither box checked

Digital assets: [X] No | Neither spouse can be claimed as a dependent; neither age 65 or older or blind.

Dependents: first / last name	SSN	Relationship	Child tax credit	Other credit
ROBERT SMITH III	111-22-7777	Son	X	
MELISSA SMITH	222-33-7777	Daughter	X	
JUDITH SMITH	777-88-9999	Daughter	X	

Income, adjusted gross income and deductions

1a	Total amount from Forms W-2, box 1	327,003
1b-h	Household employee wages; tips; other earned income (none)	0
1i	Nontaxable combat pay election	0
1z	**Total earned income, lines 1a through 1h**	**327,003**
2a / b	Tax-exempt interest: 0 | Taxable interest (Schedule B)	1,116
3a / b	Qualified dividends: 4,898 | Ordinary dividends (Schedule B)	6,744
4a / b	IRA distributions: 0 | Taxable amount	0
5a / b	Pensions and annuities: 0 | Taxable amount	0
6a / b	Social security benefits: 0 | Taxable amount	0
7	Capital gain or (loss). Schedule D attached	26,383
8	Additional income from Schedule 1, line 10	0
9	**Total income**	**361,246**
10	Adjustments to income from Schedule 1, line 26	300
11	**Adjusted gross income**	**360,946**
12	Standard deduction - married filing jointly	29,200
13	Qualified business income deduction from Form 8995	43
14	Add lines 12 and 13	29,243
15	**Taxable income. Subtract line 14 from line 11**	**331,703**

Standard deduction elected. Schedule D required box not waived. All amounts in whole U.S. dollars.

Form 1040 2024

U.S. Individual Income Tax Return

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Tax and credits

16	Tax. Qualified Dividends and Capital Gain Tax Worksheet	62,878
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	62,878
19	Child tax credit / credit for other dependents (Schedule 8812)	6,000
20	Amount from Schedule 3, line 8	539
21	Add lines 19 and 20	6,539
22	Subtract line 21 from line 18	56,339
23	Other taxes, including Schedule 2, line 21	2,232
24	**Total tax**	**58,571**

Payments

25a	Federal income tax withheld from Forms W-2	25,394
25b	Federal income tax withheld from Forms 1099	0
25c	Federal income tax withheld from other forms	0
25d	Total federal income tax withheld	25,394
26	2024 estimated tax payments and amount applied from 2023	13,685
27	Earned income credit	0
28	Additional child tax credit from Schedule 8812	0
29	American opportunity credit from Form 8863	0
30	Reserved for future use	
31	Amount from Schedule 3, line 15	4,113
32	Total other payments and refundable credits	4,113
33	**Total payments**	**43,192**

Refund / amount you owe

34	Amount overpaid	0
35a	Amount to be refunded to you (no direct deposit requested)	0
36	Amount applied to 2025 estimated tax	0
37	**Amount you owe. Subtract line 33 from line 24**	**15,379**
38	Estimated tax penalty - left blank; IRS may calculate	

Lines 35b-d: routing number, account type and account number are blank. Third-party designee: [X] No.

Taxpayer signature: _____ Date: _____ Occupation: SALESMAN
Spouse signature: _____ Date: _____ Occupation: TEACHER
Phone: 222-867-5309 Email: BOBSMITH@SMITH.COM | Identity protection PINs: not supplied
Paid preparer name / signature / PTIN / firm / EIN / address / phone: to be completed by the firm.

Schedule 1

2024

Additional Income and Adjustments to Income

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part I - Additional income

1	Taxable refunds, credits or offsets of state and local income taxes	0
2a	Alimony received	0
2b	Date of original divorce or separation agreement	
3	Business income or (loss). Schedule C	0
4	Other gains or (losses). Form 4797	0
5	Rental real estate, royalties, partnerships, S corporations, trusts, etc.	0
6	Farm income or (loss). Schedule F	0
7	Unemployment compensation	0
8a-z	Other income items (none)	0
9	Total other income	0
10	**Total additional income. Enter on Form 1040, line 8**	**0**

No additional income was reported in the client documents. Unused detail lines 8a-z are zero.

Schedule 1 2024

Additional Income and Adjustments to Income

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Part II - Adjustments to income

11	Educator expenses - Lisa Marie Smith	300
12	Certain business expenses of reservists, performing artists and fee-basis officials	0
13	Health savings account deduction	0
14	Moving expenses for members of the Armed Forces	0
15	Deductible part of self-employment tax	0
16	Self-employed SEP, SIMPLE and qualified plans	0
17	Self-employed health insurance deduction	0
18	Penalty on early withdrawal of savings	0
19a	Alimony paid	0
19b-c	Recipient SSN / date of original divorce agreement - not applicable	
20	IRA deduction	0
21	Student loan interest deduction - income above phaseout ceiling	0
22	Reserved for future use	
23	Archer MSA deduction	0
24a-z	Other adjustments (none)	0
25	Total other adjustments	0
26	**Total adjustments. Enter on Form 1040, line 10**	**300**

Lisa reports approximately $730 of classroom expenses. Deduction is limited to $300 for one eligible educator.

Student loan interest paid: $4,312. No deduction: joint modified AGI exceeds the $195,000 phaseout ceiling.

Schedule 2

2024

Additional Taxes

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part I - Tax

1a-y	Additions to tax (premium credit repayments, transferred vehicle credits, other)	0
1z	Total additions to tax	0
2	Alternative minimum tax	0
3	**Add lines 1z and 2. Enter on Form 1040, line 17**	**0**

Part II - Other taxes

4	Self-employment tax	0
5	Social security and Medicare tax on unreported tips	0
6	Uncollected social security and Medicare tax on wages	0
7	Additional tax on IRAs, other qualified retirement plans, etc.	0
8	Household employment taxes	0
9	Repayment of first-time homebuyer credit	0
10	Additional Medicare Tax. Attach Form 8959	931
11	Net investment income tax. Attach Form 8960	1,301
12	Uncollected social security / Medicare or RRTA tax from Forms W-2	0
13	Interest on deferred tax on certain installment sales over $150,000	0
14	Interest on deferred tax on certain installment sales over $5 million	0
15	Recapture of low-income housing credit	0
16	Net tax liability under section 965	0

Schedule 2

2024

Additional Taxes

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part II - Other taxes (continued)

17a-z	Other additional taxes (none)	0
18	Total additional taxes from lines 17a-z	0
19	Recapture of net elective payment election amounts	0
20	Section 965 installment tax liability	0
21	**Total other taxes. Enter on Form 1040, line 23**	**2,232**

Line 21 consists solely of Additional Medicare Tax ($931) and net investment income tax ($1,301).

No alternative minimum tax is due under the review computation; Form 6251 is not included as a filing attachment.

Schedule 3

2024

Additional Credits and Payments

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part I - Nonrefundable credits

1	Foreign tax credit - election to claim without Form 1116	211
2	Credit for child and dependent care expenses. Attach Form 2441	328
3	Education credits	0
4	Retirement savings contributions credit	0
5a	Residential clean energy credit	0
5b	Energy efficient home improvement credit	0
6a-z	Other nonrefundable credits (none)	0
7	Total other nonrefundable credits	0
8	**Total nonrefundable credits. Enter on Form 1040, line 20**	**539**

All foreign tax ($211.05) is reported by Yellow Rose Bank on Lisa's Form 1099-DIV; assumed eligible passive-category tax.

The married-filing-jointly foreign tax credit election threshold is $600. No Form 1116 is required under the election.

Schedule 3

2024

Additional Credits and Payments

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part II - Other payments and refundable credits

9	Net premium tax credit	0
10	Amount paid with request for extension to file	0
11	Excess social security and tier 1 RRTA tax withheld	4,113
12	Credit for federal tax on fuels	0
13a-z	Other payments or refundable credits (none)	0
14	Total other payments or refundable credits	0
15	**Total. Enter on Form 1040, line 31**	**4,113**

Excess social security tax is computed separately for Bob: $8,212.83 + $6,353.06 - $10,453.20 = $4,112.69, rounded to $4,113.

Lisa's social security wages and withholding are below the annual limit and are not combined with Bob's for this computation.

DEPARTMENT OF THE TREASURY - INTERNAL REVENUE SERVICE

Schedule B

2024

Interest and Ordinary Dividends

Form 1040 Attachment sequence 08

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Part I - Interest

1 Name of payer / recipient	Amount
TX Lending Company - Robert Smith Jr.	108
Yellow Rose Bank - Robert Smith Jr.	40
Yellow Rose Bank - Lisa Marie Smith	968

2	Total interest	1,116
3	Excludable interest on Series EE and I U.S. savings bonds	0
4	**Taxable interest. Enter on Form 1040, line 2b**	**1,116**

Part II - Ordinary dividends

5 Name of payer / recipient	Amount
Yellow Rose Bank - Lisa Marie Smith	6,744

6	**Total ordinary dividends. Enter on Form 1040, line 3b**	**6,744**

Part III - Foreign accounts and trusts

7a	Financial interest in or signature authority over foreign financial account?	No
7a	Required to file FinCEN Form 114, Report of Foreign Bank and Financial Accounts?	No
7b	Foreign country where financial account is located	
8	Foreign trust distribution, grantor or transferor during 2024?	No

Foreign account answers are based on the questionnaire. No foreign trust activity is assumed. Foreign-source dividends held through a U.S. bank do not alone establish a foreign account.

Interest source amounts: $107.88 + $39.99 + $968.22 = $1,116.09. Dividends: $6,744.05; qualified portion $4,897.86.

Schedule D

2024

Capital Gains and Losses

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Qualified opportunity fund investment disposed of in 2024: [X] No

Part I - Short-term capital gains and losses

Line / reporting category	Proceeds (d)	Basis (e)	Adjust. (g)	Gain / (loss) (h)
1a Covered transactions, no adjustment; not reported separately	0	0	0	0
1b Totals from Form 8949, box A	57	6,751	0	(6,694)
2 Form 8949, box B	0	0	0	0
3 Form 8949, box C	0	0	0	0

4	Short-term gain from Forms 6252 and 4684 and other sources	0
5	Net short-term gain / loss from partnerships, S corporations, estates and trusts	0
6	Short-term capital loss carryover	0
7	**Net short-term capital gain or (loss)**	**(6,694)**

Part II - Long-term capital gains and losses

Line / reporting category	Proceeds (d)	Basis (e)	Adjust. (g)	Gain / (loss) (h)
8a Covered transactions, no adjustment; not reported separately	0	0	0	0
8b Totals from Form 8949, box D	43,877	11,268	468	33,077
9 Form 8949, box E	0	0	0	0
10 Form 8949, box F	0	0	0	0

11	Long-term gains from other forms	0
12	Net long-term gain / loss from partnerships, S corporations, estates and trusts	0
13	Capital gain distributions	0
14	Long-term capital loss carryover	0
15	**Net long-term capital gain or (loss)**	**33,077**

Schedule D

2024

Capital Gains and Losses

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part III - Summary

16	**Combine lines 7 and 15. Enter net gain on Form 1040, line 7**	**26,383**
17	Are lines 15 and 16 both gains?	Yes
18	28% rate gain or (loss)	0
19	Unrecaptured section 1250 gain	0
20	Are lines 18 and 19 both zero or blank?	Yes

Complete the Qualified Dividends and Capital Gain Tax Worksheet in the Form 1040 instructions. Do not complete lines 21 and 22.

21	Capital loss deduction - not applicable (net gain)	
22	Qualified dividends question - not applicable under line 20 routing	

Bob: covered short-term sale, $56.78 proceeds less $6,750.88 basis = ($6,694.10).

Lisa: covered long-term sale, $43,877.03 proceeds less $11,268.00 basis plus $468.41 reported wash-sale adjustment = $33,077.44.

Net capital gain: $26,383.34, rounded to $26,383. No carryovers were supplied; assumed zero.

Form 8949 2024

Sales and Other Dispositions of Capital Assets

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Part I - Short-term transactions

[X] Box A: Short-term transactions reported on Form 1099-B showing basis was reported to the IRS.

(a) Description	(b) Acquired	(c) Sold	(d) Proceeds	(e) Basis	(f) Code	(g) Adjust.	(h) Gain/(loss)
11 SHARES OF EXSTCK	03/08/2024	07/06/2024	57	6,751		0	(6,694)

2 Totals - carry to Schedule D, line 1b **(6,694)**

Column totals: (d) 57; (e) 6,751; (g) 0; (h) (6,694).

Reported by L&R Investment Advisors for Robert Smith Jr., SSN 333-44-5555. Both box 2 short-term and box 12 basis-reported indicators are checked on the supplied Form 1099-B.

Included on Form 8949 for transaction-level review even though covered, unadjusted transactions may be reported directly on Schedule D, line 1a.

Form 8949 2024

Sales and Other Dispositions of Capital Assets

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Part II - Long-term transactions

[X] Box D: Long-term transactions reported on Form 1099-B showing basis was reported to the IRS.

(a) Description	(b) Acquired	(c) Sold	(d) Proceeds	(e) Basis	(f) Code	(g) Adjust.	(h) Gain/(loss)
18 SHARES OF BLU-FOR CORP	04/08/2019	08/25/2024	43,877	11,268	W	468	33,077

2 Totals - carry to Schedule D, line 8b **33,077**

Column totals: (d) 43,877; (e) 11,268; (g) 468; (h) 33,077.

Reported by Retro Investing Company for Lisa Marie Smith, SSN 444-55-6666. The supplied Form 1099-B shows long-term treatment, basis reported, and $468.41 of wash-sale loss disallowed.

Code W and a positive adjustment are used as reported. Because the sale is net profitable, senior should verify that box 1g reflects lot-level wash sales and is not a payer error.

Schedule 8812 2024

Credits for Qualifying Children and Other Dependents

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Part I - Child tax credit and credit for other dependents

1	Amount from Form 1040, line 11	360,946
2a	Income from Puerto Rico excluded	0
2b	Amounts from Form 2555	0
2c	Amount from Form 4563	0
2d	Add lines 2a through 2c	0
3	Add lines 1 and 2d	360,946
4	Qualifying children under age 17 with required social security numbers	3
5	Multiply line 4 by $2,000	6,000
6	Other dependents, excluding persons included on line 4	0
7	Multiply line 6 by $500	0
8	Add lines 5 and 7	6,000
9	Phaseout threshold - married filing jointly	400,000
10	Line 3 less line 9, rounded up to next $1,000; not below zero	0
11	Multiply line 10 by 5%	0
12	Subtract line 11 from line 8	6,000
13	Credit Limit Worksheet A amount	62,339
14	**Child tax credit / other dependent credit. Smaller of lines 12 and 13**	**6,000**

Line 14 is reported on Form 1040, line 19. Part II (additional child tax credit) is not required because the full $6,000 credit is absorbed by tax liability.

Children are assumed U.S. citizens or residents with timely issued, employment-valid SSNs. Paid preparer must verify eligibility and complete Form 8867.

Form 2441

2024

Child and Dependent Care Expenses

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Part I - Persons or organizations who provided the care

1 (a) Care provider name and address	(c) EIN	(d) Amount paid
CHILDREN FIRST CHILD CARE CENTER OF TEXAS 777 CHILDCARE WAY, DALLAS, TX 75211	45-4564564	2,240

Provider is an organization; household employee indicator: No. No employer-provided dependent care benefits were reported.

Part II - Credit for child and dependent care expenses

2 (a) Qualifying person	(b) SSN	(c) Disabled	(d) Qualified expenses
ROBERT SMITH III	111-22-7777	No	820
MELISSA SMITH	222-33-7777	No	820

3	Total qualified expenses, limited to $6,000 for two or more persons	1,640
4	Taxpayer earned income - Robert	234,934
5	Spouse earned income - Lisa	92,069
6	Smallest of lines 3, 4 and 5	1,640
7	Adjusted gross income	360,946
8	Applicable percentage (decimal)	.20
9a	Multiply line 6 by line 8	328
9b	Credit for prior-year expenses paid in 2024	0
9c	Add lines 9a and 9b	328
10	Tax liability limit from Credit Limit Worksheet	62,667
11	**Credit. Smaller of lines 9c and 10. Schedule 3, line 2**	**328**

Twins were age 6 at year-end and each incurred $820. Judith was age 14; her $600 of care is excluded. Total provider payments are $2,240; qualifying payments are $1,640.

Care is assumed employment-related, allowing both spouses to work. Part III does not apply: no dependent care benefits.

Form 8995

2024

Qualified Business Income Deduction - Simplified Computation

Taxable income before QBI deduction below $383,900 joint threshold

Attachment sequence 55

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

1 Trade / business name	Taxpayer identification number	Qualified business income
No qualified trade or business	Not applicable	0

2	Total qualified business income	0
3	Qualified business net loss carryforward	0
4	Qualified business income after carryforward	0
5	Qualified business income component: line 4 x 20%	0
6	Qualified REIT dividends and publicly traded partnership income	215
7	Qualified REIT / PTP loss carryforward	0
8	Net qualified REIT dividends and PTP income	215
9	REIT / PTP component: line 8 x 20%	43
10	Qualified business income deduction before income limitation	43
11	Taxable income before qualified business income deduction	331,746
12	Net capital gain plus qualified dividends	31,281
13	Subtract line 12 from line 11	300,465
14	Income limitation: line 13 x 20%	60,093
15	**Qualified business income deduction. Smaller of lines 10 and 14**	**43**
16	Qualified business loss carryforward	0
17	Qualified REIT / PTP loss carryforward	0

Form 1099-DIV box 5 section 199A dividends: $214.79. Treated as qualified REIT dividends; assumed holding-period requirements satisfied. No business or REIT/PTP loss carryforwards supplied.

Form 8867 2024

Paid Preparer's Due Diligence Checklist

Review draft - paid preparer completion required before e-filing

Attachment sequence 70

Robert Smith Jr. & Lisa Marie Smith SSN 333-44-5555

Return and preparer information

Taxpayers: Robert Smith Jr. and Lisa Marie Smith | Taxpayer SSN: 333-44-5555

Preparer name: _____ PTIN: _____

Credit / status requiring checklist: [X] CTC/ACTC/ODC [ ] EIC [ ] AOTC [ ] Head of household

Part I - Due diligence requirements: response status

Requirement / inquiry	Status for senior review
Return and credit worksheet prepared using tax-year information supplied	Yes - intake, tax documents and Schedule 8812 worksheet
Knowledge requirement; investigate information appearing incomplete or inconsistent	OPEN - W-2 box 12a code missing; verify assumptions affecting credits
Contemporaneous documentation of follow-up inquiries	OPEN - no follow-up interviews or confirmations represented
Record retention and identification of information relied upon	Client intake and source documents identified in review workpapers; firm retention certification OPEN
Ask whether taxpayer can substantiate credit eligibility	OPEN - obtain residency, relationship, citizenship and SSN support as required
Ask about prior credit disallowance or reduction / Form 8862 requirement	OPEN - not addressed in supplied questionnaire
Self-employment inquiries	Not applicable - no self-employment income reported

Part III - CTC / ACTC / ODC

Three children meet the reported age, relationship, support and residence facts. All were under age 17 at year-end and lived with both spouses for the full year.

Employment-valid SSNs, qualifying citizenship / residency, no prior disallowances and no competing claims are assumptions, not completed preparer certifications. Confirm before answering the filed checklist.

Separated-parent and release-of-claim rules: questionnaire states spouses did not live apart and no custody / divorce agreement applies.

Certification

DO NOT E-FILE THIS CHECKLIST AS-IS. The signing paid preparer must complete the current IRS Form 8867 responses and certify due diligence after required inquiries and documentation. No unsupported yes/no responses have been fabricated.

Parts II (EIC), IV (AOTC) and V (HOH) do not apply. Final eligibility certification remains open.

Form 8959

2024

Additional Medicare Tax

Form 1040

Attachment sequence 71

Robert Smith Jr. & Lisa Marie Smith

SSN 333-44-5555

Part I - Additional Medicare Tax on Medicare wages

1	Medicare wages and tips from Forms W-2, box 5	353,409
2	Unreported tips from Form 4137	0
3	Wages from Form 8919	0
4	Add lines 1 through 3	353,409
5	Filing-status threshold - married filing jointly	250,000
6	Subtract line 5 from line 4; not below zero	103,409
7	Additional Medicare Tax: line 6 x 0.9%	931

Part II - Additional Medicare Tax on RRTA compensation

8	RRTA compensation and tips	0
9	Filing-status threshold - married filing jointly	250,000
10	Subtract line 9 from line 8; not below zero	0
11	Additional Medicare Tax on RRTA compensation	0

Part III - Additional Medicare Tax on self-employment income

12	Self-employment income	0
13	Filing-status threshold	250,000
14	Amount from line 4	353,409
15	Subtract line 14 from line 13; not below zero	0
16	Subtract line 15 from line 12; not below zero	0
17	Additional Medicare Tax on self-employment income	0

Part IV - Total Additional Medicare Tax

18	**Add lines 7, 11 and 17. Schedule 2, line 10**	**931**

Part V - Withholding reconciliation

19	Medicare tax withheld from Forms W-2, box 6	5,124
20	Medicare wages and tips from line 1	353,409
21	Line 20 x 1.45%	5,124
22	Line 19 less line 21; not below zero	0
23	Additional Medicare Tax withholding on RRTA compensation	0
24	Total Additional Medicare Tax withholding. Form 1040, line 25c	0

Form 8960 2024

Net Investment Income Tax - Individuals, Estates, and Trusts

Individual computation | Attachment sequence 72

Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555

Part I - Investment income

1	Taxable interest	1,116
2	Ordinary dividends	6,744
3	Annuities	0
4a	Rental real estate, royalties, partnerships, S corporations, trusts, etc.	0
4b	Adjustment to line 4a income	0
4c	Combine lines 4a and 4b	0
5a	Net gain or (loss) from disposition of property	26,383
5b	Gain / loss not subject to net investment income tax	0
5c	Adjustment for dispositions of partnership or S corporation interests	0
5d	Combine lines 5a through 5c	26,383
6	Adjustments for controlled foreign corporations / PFICs	0
7	Other modifications to investment income	0
8	**Total investment income**	**34,243**

Part II - Investment expenses allocable to investment income

9a	Investment interest expense	0
9b	State, local and foreign income taxes allocable to investment income	0
9c	Miscellaneous investment expenses	0
9d	Total investment expenses	0
10	Additional modifications	0
11	Total deductions and modifications	0

Part III - Tax computation: individuals

12	Net investment income: line 8 less line 11; not below zero	34,243
13	Modified adjusted gross income	360,946
14	Threshold - married filing jointly	250,000
15	Line 13 less line 14; not below zero	110,946
16	Smaller of line 12 or line 15	34,243
17	**Net investment income tax: line 16 x 3.8%. Schedule 2, line 11**	**1,301**

Estates and trusts computation (lines 18-21): not applicable. No section 6013(g) or (h) election is assumed.